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THE RECENTLY RELEASED provisional estimates of national accounts pegged India's economic growth at a higher-than-anticipated 7.7% in FY26. This comes as a welcome surprise to policymakers and market participants alike at a time of deep global uncertainty, heightened by the war in West Asia.

Private final consumption expenditure registered 7.7% growth, indicating robust domestic demand, and strong manufacturing sector expansion of 10.7% were reminders of the Indian economy's resilience in recent years.

22 | Yet, look beyond the headline numbers and a more sobering picture emerges. In the same fiscal year, India's import bill rose to \$776 billion on the back of higher shipments of not just crude oil, gold and silver but also a plethora of products used by end consumers and by companies as inputs and intermediate goods for manufacturing.

Officials and analysts say this points to India's growing manufacturing capabilities and needs a burgeoning economy. A quick scan of top imports by HSN code, the universal categorisation of products, for FY26 indicates that is indeed the case. Some of India's top purchases from abroad include items such as electronic components, like digital integrated circuits, microprocessors and semiconductor chips, laptops and computers, aircraft, crude palm oil, soyabean oil, lithium ion and photovoltaic batteries.

However, since the beginning of the West Asia conflict on February 28, the increase in prices of several of these items is making India pay a heavy price for its import dependence.

As the war escalated, hitting critical production facilities and leading to closure of the Strait of Hormuz, prices and supplies of not just crude oil but also crucial petrochemicals and raw materials that India imports also got hit.

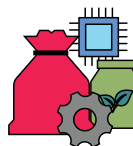
The continuing surge in prices has widened India's trade deficit and that is exerting pressure on the current account deficit. As a result, the dependence on imports has come under close scrutiny.

It even occasioned a rare exhortation by Prime Minister Narendra Modi for Indians to cut down on imports that result in an outflow of precious foreign exchange, postpone plans for for-

IMPORTING TOO MUCH?



NOT JUST OIL AND GOLD, INDIA'S IMPORT BILL HAS RISEN SUBSTANTIALLY OVER THE YEARS



FOOD, FERTILISERS, ELECTRONICS, ENGINEERING GOODS AND APIs ARE KEY IMPORTS



THIS HAS LED TO A HIGHER TRADE DEFICIT AND CONCERNS OVER BALANCE OF PAYMENTS



DOMESTIC MANUFACTURING CAPABILITIES ARE YET TO TAKE OFF FULLY; SCHEMES LIKE PLI HAVE HAD LIMITED SUCCESS



INDIA NEEDS TO BUILD MORE DOMESTICALLY AND CUT DOWN ON IMPORTS TO SHIELD ITSELF FROM VULNERABILITIES